

Unit 7. Corporate Strategy: Growth

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Unit 7. Corporate Strategies. Development

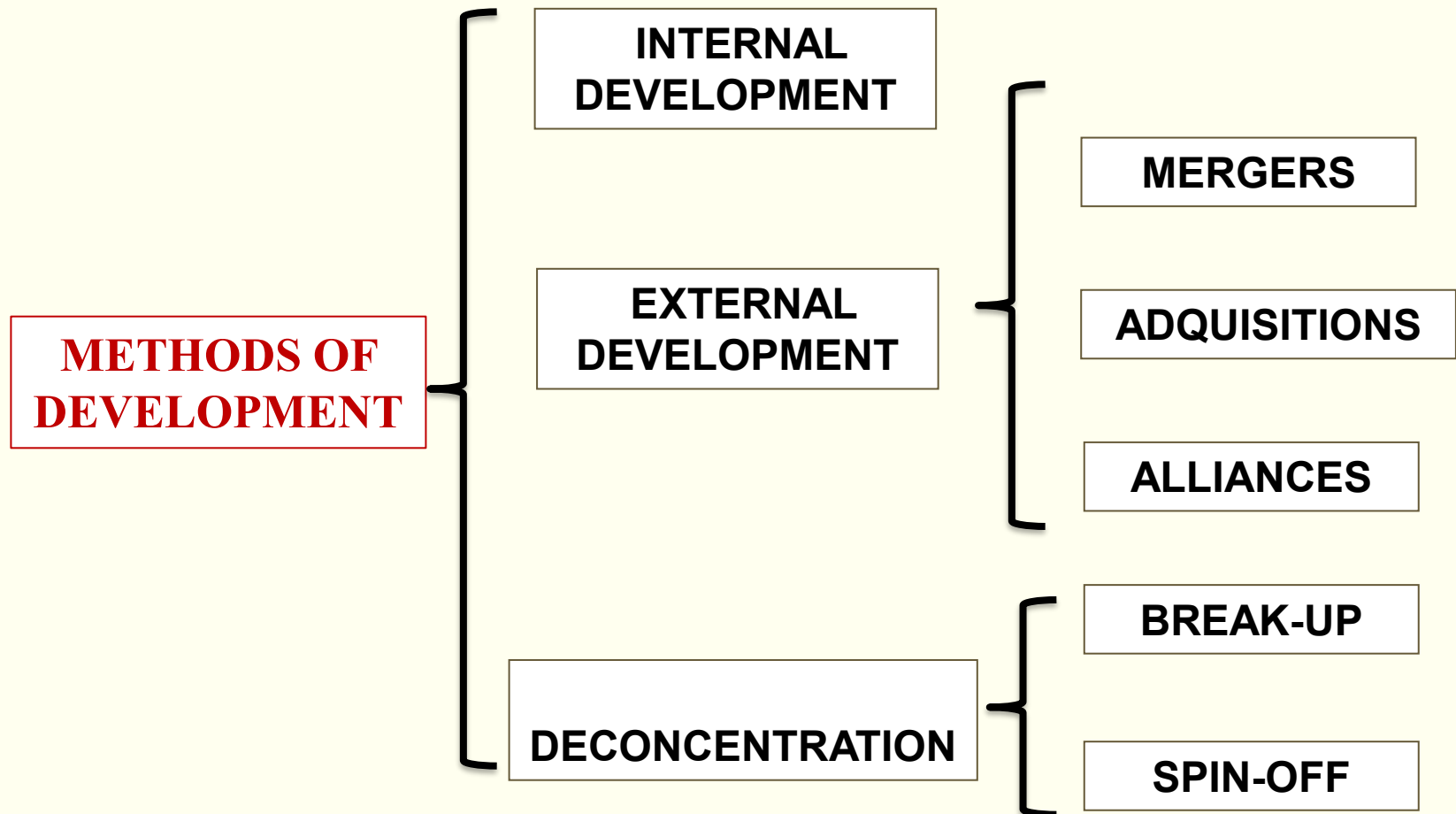
LEARNING OBJECTIVES

1. To understand the advantages and disadvantages of each method of growth
2. To discover the economic, strategic and market drivers of M&A
3. To understand the strategic implications of the very different types of strategic alliances



7.1. Internal vs External Growth

WHERE TO COMPETE? METHODS OF GROWTH



7.1. Internal vs External Growth

INTERNAL GROWTH

Firm growth is carried out through internal , sequential investments (capital, labor, machinery, factories, etc.)

FEATURES

INCREASES THE FIRM'S
TOTAL ASSETS

INCREASES (ADDS) NEW
CAPACITY TO THE
INDUSTRY *

INVEST IN NEW
PRODUCTION FACTORS

THE “NATURAL WAY OF
GROWTH (99% firms do it)

Key Questions: ***WHY DO SOCIETY, ECONOMY,
PUBLIC ADMINISTRATIONS APPLAUD IT?
WHY DO I SPEND JUST A SLIDE?***



7.1. Internal vs External Growth

EXTERNAL GROWTH

Firm growth is carried out through investing in, controlling or associating other firms or firm's assets (mergers, acquisitions, alliances)

FEATURES

**NO GROWTH FROM
MACRO-ECONOMY**

**DOESN'T INCREASE
(ADDS) NEW CAPACITY TO
THE INDUSTRY ***

**THERE IS NO INVESTMENT
IN NEW PRODUCTION
FACTORS (JUST CHANGES
IN OWNERSHIP)**

**COMMON IN LARGE
COMPANIES AND
DEVELOPED COUNTRIES**

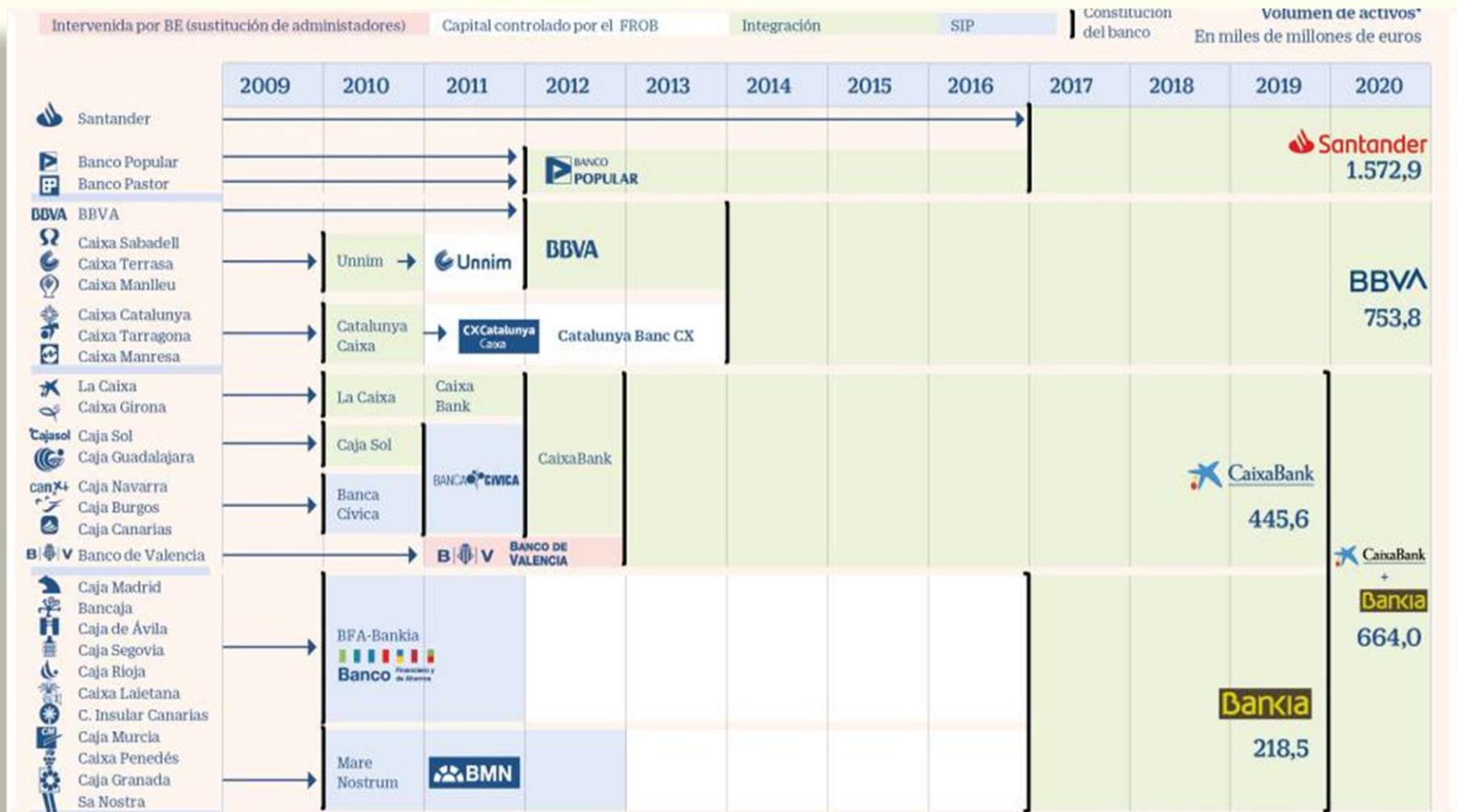
Key Question: ***WHY DO SOCIETY, ECONOMY,
PUBLIC ADMINISTRATIONS REJECT IT?***



LOS VILLANOS DE DISNEY MÁS FAMOSOS

Exhibit 7.1

Evolution of the Spanish Banking System



7.1. Internal vs External Growth

GROWTH METHODS COMPARISON

INTERNAL GROWTH

- Internal development of resources and capabilities
- Low risk of knowledge spillovers
- High resource commitment

MERGERS & ACQUISITIONS

- External access to resources and capabilities
- Low risk of knowledge disclosure
- High resource commitment

ALLIANCES

- External access to resources and capabilities
- High risk of knowledge disclosure
- Low resource commitment

7.2. MERGERS & ACQUISITIONS

From a Strategic Point of View → M&A are synonyms

- Firms buy totally or partially another firm:
 - **Acquisition**, in which case one firm (the acquiring firm or acquirer) acquires completely or partially another firm (target).
 - **Merger by absorption**, when one firm transfer all their assets and liabilities to another existing company and then is dissolved.
 - **Pure merger**, when the merger leads to the creation of a new firm that amalgamates the two previous ones.

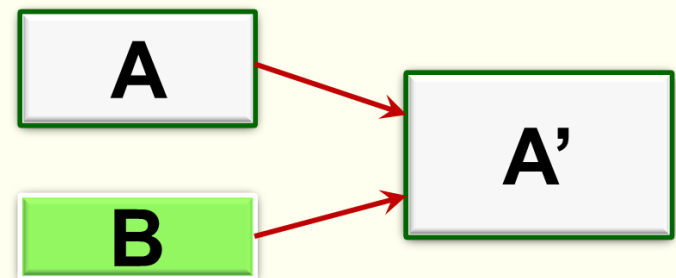
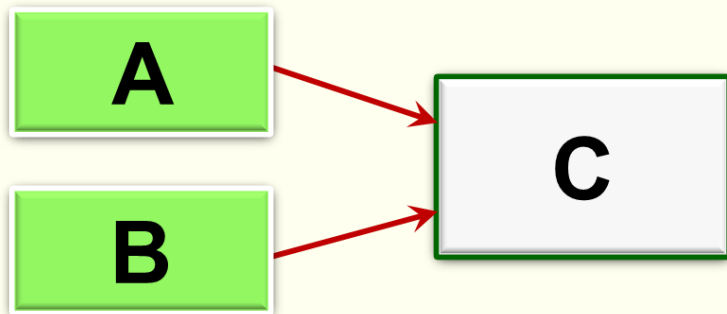


Exhibit 7.2

Pure Merger



Exhibit 7.3

Pure Merger



7.2. MERGERS & ACQUISITIONS

DRIVERS

ECONOMIC EFFICIENCY

1. **Economies of scale, scope-synergies.**
2. Reduction of Transaction costs
3. Investment opportunities
4. Tax incentives, others

PARADOXICAL!

STRATEGIC MOTIVES

1. **Acquisition of Strategic Resources & Cap.**
2. The only way to enter a new industry/country
3. Monopoly/Oligopoly power
4. Capture the advantages of Vertical integration
5. Large size to win

OTHER FACTORS

1. **Agency Problems → Empires by managers.**
2. Industry trend (leaders in industry)
3. Risk reduction

7.2. MERGERS & ACQUISITIONS

RISKS-DISADVANTAGES

Design of M&A

1. **Target firm...** (Investment banks, consultancy)
2. **Negotiation-conditions** (Control premium)
3. **Funding method (REALLY EXPENSIVE)**
 - Leveraged buyout...

Cultural- Employees- Operations integration

1. **Human Resource Policy** (winner vs. loser)
2. **Two different** (opposite cultures)
3. **Organizational design**
4. **Technology-Processes**
5. **Staff reduction!**



Other

1. **Anti-trust laws**

Exhibit 7.4

Standard Life acquires Aegon UK (2026), FT, April 14, 2026

1. Deal Context

- Standard Life (Phoenix Group) announces the acquisition of **Aegon UK**.
- Industry: UK pensions and asset management.

2. Price Paid

- **Acquisition price: £2.0 billion.**
- Estimated stand-alone valuation (pre-deal): **~£1.5 billion**, based on sector benchmarks referenced in FT coverage.
- The offer reflects intensifying competition for pension assets in the UK.

3. Control Premium Calculation

$$\text{Control Premium} = \frac{\text{Offer Price} - \text{Stand-Alone Value}}{\text{Stand-Alone Value}}$$

Applied to the case:

$$\frac{2\,000 - 1\,500}{1\,500} = 0.33 = 33\%$$

Estimated control premium: 30–35%, consistent with European financial-sector transactions.



4. Why a Control Premium Was Paid

- Immediate access to a large pension-client base** without gradual market acquisition.
- Operational and technological synergies** (platform integration, cost efficiencies).
- Strategic scale advantage** in a consolidating industry.
- Competitive pressure**: few high-quality pension platforms available for acquisition.
- Expectation of synergy value exceeding the premium**, making the deal NPV-positive for the acquirer.

Exhibit 7.5

Elon Musk' Acquisition of Twitter (X) FT, April 14, 2026

A \$44B acquisition that triggered massive strategic, cultural, and financial disruption

1. **Strategic Rationale** (What Was Expected)

- Transform Twitter into an “everything app” (payments, messaging, content, commerce)
- Reduce costs and increase efficiency through radical restructuringPromote “free speech” as a differentiating platform value
- Accelerate product innovation with a startup-style cultureMonetize through subscriptions (Twitter Blue → X Premium)

2. **What Went Wrong** (Underlying Problems)

- Cultural Shock & Talent Flight. Immediate layoffs of ~50% of staff,
- Advertising — historically ~90% of revenue — dropped sharply
- Subscription revenue failed to compensate for the decline
- Brand & Product RisksRebranding from Twitter to X confused users and weakened brand equity
- Verification changes reduced trust and increased impersonation incidents
- Regulatory & Legal PressuresScrutiny from EU and US regulators on content moderation and data practices



3. **Outcome (as of 2024)**

- **Company valuation reportedly fell from \$44B to ~\$19B**

7.3. STRATEGIC ALLIANCES

STRATEGIC ALLIANCE-COOPERATION

An agreement between two or more independent firms that, joining-sharing resources-capabilities, cooperate in certain activity(ies) to reinforce their respective competitive advantages

FEATURES

THERE IS NO DOMINANCE

**COORDINATION OF
CERTAIN ACTIVITIES**

**ORGANIZATIONAL
BOUNDARIES ARE
BLURRED**

SHARED GOALS



7.3. STRATEGIC ALLIANCES

STRATEGIC ALLIANCE TYPOLOGY

ACTIVITIES INVOLVED

Focused vs. Complex

NUMBER OF PARTNERS

Two vs. More than Two

RELATIONSHIPS

Vertical – Horizontal Complementarity – Horizontal Competitive

AGREEMENT NATURE

CONTRACTUAL (*Licence, Franchise, Outsourcing, Long-term contract, etc.*)

SHAREHOLDING (*Joint-Venture, Crossed-Owership*)

INTER-ORGANIZATIONAL NETWORKS (*Multiplicity of agreements, multiplicity of partners: Chaebol (S. Korea)*)

7.3. STRATEGIC ALLIANCES

REASONS- DRIVERS

**PERFORMANCE-
FLEXIBILITY BALANCE**

CHEAP

**AVOIDS HUMAN,
CULTURAL,
ORGANIZATIONAL AND
TECHNOLOGICAL
INTEGRATION PROBLEMS**

**MORE REVERSIBLE THAN
M&A**

**ACCESS TO
INTERNATIONAL MARKETS
(Joint-Ventures...)**

**ACCESS TO
COMPLEMENTARY
RESOURCES AND
CAPABILITIES**

7.3. STRATEGIC ALLIANCES

RISKS

INDEPENDENCE IS LOST

**IT MIGHT UNDERMINE A
FIRM'S COMPETITIVE
ADVANTAGE “Trojan
Horse”**



**DIVERGENT MISSION AND
OBJECTIVES**

**ADDITIONAL
COORDINATION COST AND
TIME**

**“PERCEIVED” LACK OF
TRUST & COMMITMENT**